Complete Financial Literacy

Module 1 Study Guide

Understanding Personal Finance

This guide covers every lesson of the module, using only words and figures from the lessons themselves. Work through it after watching the lessons, then use the checklist at the end to test yourself.

Lesson 1: What Financial Fitness Really Means

In this lesson: Trained, Not Born; Income Is Not Wealth; The Four Pillars.

Key points

- Financial fitness is trained, not born
- Income is not wealth — wealth is what you keep and build
- The four pillars: Earn · Keep · Grow · Protect

Examples from the lesson

- This is complete financial literacy, module one, understanding personal finance, and lesson one, what financial fitness really means.
- Now, one quick clarification before we go further.
- Say you earn TT$6,000 a month from your job, or from a small trade.
- To make this practical, we use the four pillars of financial fitness.
- If you take home TT$6,000 a month, knowing exactly what lands in your account is the starting point for everything else.
- If TT$4,200 goes out on essentials, and TT$1,800 stays untouched, you have kept a real portion of your income for your future.
- TT$500 a month, set aside consistently, becomes TT$6,000 in a year.
- Picture setting aside TT$300 a month as a safety net.
- Wealth is what you keep and build, and the four pillars are earn, keep, grow, and protect.

Lesson 2: Know Your Numbers: Your Personal Money Snapshot

In this lesson: Your Net Worth; Your Monthly Money Flow; Spot the Leaks.

Key points

- How to calculate your net worth
- How to map where your money comes from — and where it goes
- How to spot the leaks that sabotage your goals

Examples from the lesson

- This is complete financial literacy module one, understanding personal finance.
- Lesson two, know your numbers, your personal money snapshot.
- Last lesson, we covered the four pillars of financial fitness.
- Let's walk through an example in TT dollars. Suppose you have TT$5,000 in cash. TT$12,000 in a savings account, and a car worth TT$30,000.
- That gives you TT$47,000 in things you own.
- On the other side, you have a car loan of TT$15,000, and a credit card balance of TT$3,000 — TT$18,000 that you owe.
- Subtract TT$18,000 from TT$47,000, and your net worth is TT$29,000.
- Every financially fit person started with a snapshot just like this one.
- Imagine you take home TT$4,500 a month, your fixed costs, TT$1,200 for rent, TT$300 for maxi fare, TT$150 for your phone, and TT$200 for electricity, TT$1,850 in total, your flexible spending might be TT$800 for groceries, TT$250 for that Friday lime, TT$100 snacks, and TT$100 miscellaneous, TT$1,250 in total, now the important part. TT$4,500 minus TT$1,850 minus TT$1,250 leaves TT$1,400. That is money you can direct.
- A bottled water every day at TT$5 adds up to about TT$150 a month.
- A weekly coffee run at TT$20 is TT$80 a month.
- A TT$10 phone top up, twice a week, another TT$80 a month.
- Write down your income, your fixed expenses, and your flexible spending, and circle one or two leaks.

Lesson 3: The Pay-Yourself-First System

In this lesson: Pay Yourself First; The 50 · 30 · 20 Compass; Your Starter Emergency Fund; Mak

Key points

- Lesson 1 — financial fitness is trained, not born: Earn · Keep · Grow · Protect
- Lesson 2 — know your numbers: net worth, money flow, and your leaks
- Lesson 3 — pay yourself first: savings moves on payday, guided by the 50 · 30 · 20 compass

Examples from the lesson

- This is complete financial literacy. Module one, understanding personal finance. Lesson three, the pay yourself first system. By now, you know your numbers, your net worth, your monthly money flow, and where your money actually goes.
- You treat savings like a non-negotiable bill, and you are the first one who gets paid.
- Over time, a helpful split to aim toward is roughly 50% for needs, 30% for wants, and 20% for savings and extra debt repayment.
- Let's make it concrete with a monthly take home of TT$6,000. 50% is TT$3,000 for needs. Rent, utilities, basic groceries, transport. 30% is TT$1,800 for wants. Eating out, a new shirt,

phone credit, a good lime.

- And 20% is TT$1,200 for savings and paying debt down faster.
- If your rent alone takes more than TT$3,000, your needs percentage will be higher at the start, and your savings lower.
- Even 5%: TT$300 from that same TT$6,000 starts the habit and builds momentum.
- Your first target is TT$1,000, kept in a separate account that is easy to reach.
- Once that TT$1,000 cushion is in place, keep building until you can cover one full month of essential expenses.
- Let's close out module one with a recap. Lesson one. Financial fitness is trained.
- Protect. Lesson two. Know your numbers.
- Guided by the 50 · 30 · 20 compass. Starting with a TT$1,000 emergency fund. All on automatic.
- In module two, budgeting and cash flow management, we turn this into a complete monthly budget system that ties your income expenses, savings, and debt into one clear living plan.
- Even one small automatic transfer is a victory. See you in module two.

Recap checklist — can you say each one?

Lesson 1: What Financial Fitness Really Means

- ☐ Financial fitness is trained, not born
- ☐ Income is not wealth — wealth is what you keep and build
- ☐ The four pillars: Earn · Keep · Grow · Protect

Lesson 2: Know Your Numbers: Your Personal Money Snapshot

- ☐ How to calculate your net worth
- ☐ How to map where your money comes from — and where it goes
- ☐ How to spot the leaks that sabotage your goals

Lesson 3: The Pay-Yourself-First System

- ☐ Lesson 1 — financial fitness is trained, not born: Earn · Keep · Grow · Protect
- ☐ Lesson 2 — know your numbers: net worth, money flow, and your leaks
- ☐ Lesson 3 — pay yourself first: savings moves on payday, guided by the 50 · 30 · 20 compass